

Consider the fact that a lump sum of up to ₹10 lacs you get is tax-free while the raise in your next salary would be taxable. So when you decide to change jobs and there are only a few months left for entitlement of the gratuity, buy some more time from the new employer so that you are able to avail this benefit.

Gratuity is a defined benefit plan. It is mandatory for companies with more than 10 employees on their payrolls to give gratuity to an employee on resignation, retirement and termination of service. However, an employee is eligible for this benefit only on completion of five years of continuous service with the company.

Financial Investment Tools	
Bank Fixed Deposits (FDs)	Superannuation
Bank Recurring Deposits (RDs)	Gold
PPF (Public Provident Fund)	Stocks
EPF (Employee Provident Fund)	Bonds
VPF (Voluntary Provident Fund)	Mutual Funds
National Pension Scheme (NPS)	FMPs (Fixed Maturity Plans) of MFs
Sukanya Samridhi Scheme (SSS)	Commodities
Gratuity	Real Estate

Superannuation

A superannuation fund is one of the other retirement benefits given to employees by a company. The company pays 15% of basic wages as a contribution to superannuation. There is no contribution from the employee.

Normally the company has a link with agencies like LIC Superannuation Fund, where their contributions are paid. This contribution is invested by the fund in various securities as per a prescribed investment pattern. Interest on contributions is credited to the members' account. Normally the rate of interest is equivalent to the PF interest rate.

On attaining retirement age, a member is eligible to take 25% of the balance available in his/her account as a tax free benefit. The balance 75%